

Northgate Precision Components — Quantitative Diligence

Memo

Prepared for: Buy-Side Diligence File | September 16, 2026 | Industry benchmark set: Light / Precision Manufacturing

Uses synthetic data modeled on a small precision-manufacturing shop; no client or employer data included. See [data/synthetic/qoe_issue_co/](#).

OVERALL FLAG: YELLOW

Governing Thought

Northgate Precision Components is directionally investable, but 2 flag(s) need targeted follow-up diligence before price or terms are finalized. On the numbers: FY2024 revenue of \$6,450,000, gross margin 40.0%, and Adjusted EBITDA of \$962,150 (14.9% margin).

Flag Summary (Situation → Complication → What It Means)

Flag	Severity	Headline
Expense-timing shift	YELLOW	COGS-to-revenue ratio dropped sharply, FY2023→FY2024
Customer concentration	YELLOW	Top customer is 28% of FY2024 revenue

Financial Snapshot

Metric	FY2022	FY2023	FY2024
Revenue	\$5,400,000	\$5,900,000	\$6,450,000
Gross margin	33.0%	33.2%	40.0%
EBITDA	\$346,800	\$148,100	\$742,150
EBITDA margin	6.4%	2.5%	11.5%
Adjusted EBITDA	\$406,800	\$468,100	\$962,150
Adjusted EBITDA margin	7.5%	7.9%	14.9%
Net income	\$222,400	\$21,200	\$611,700
Working capital	\$1,116,410	\$1,223,676	\$1,362,853
Operating working capital	\$916,410	\$983,676	\$1,063,853
Current ratio	3.01x	2.97x	3.11x
DSCR (Adj. EBITDA basis)	3.06x	3.57x	7.46x

Quality-of-Earnings Addback Worksheet

Adjusted EBITDA below reflects only the addbacks with a documented, itemized rationale. Related-party expense is intentionally excluded from this worksheet and handled instead as a flag requiring verification -- see Flag Summary.

FY2022

Line	Amount	Confidence / Rationale
EBITDA	\$346,800	Net income + interest + tax + D&A
Owner/officer compensation above market replacement rate	\$60,000	[requires verification] Owner compensation of \$180,000 exceeds the assumed market replacement rate of \$120,000 by \$60,000. Addback assumes a new operator would be paid at market rate; confirm against a role-specific compensation benchmark before relying on this number.
Adjusted EBITDA	\$406,800	Adjusted EBITDA margin: 7.5%

FY2023

Line	Amount	Confidence / Rationale
EBITDA	\$148,100	Net income + interest + tax + D&A
Non-recurring / one-time expense	\$180,000	[high] \$180,000 booked as a one-time item in FY2023. Added back in full because it is separately identified in the source ledger and, by definition, should not recur under new ownership.
Owner/officer compensation above market replacement rate	\$140,000	[requires verification] Owner compensation of \$260,000 exceeds the assumed market replacement rate of \$120,000 by \$140,000. Addback assumes a new operator would be paid at market rate; confirm against a role-specific compensation benchmark before relying on this number.
Adjusted EBITDA	\$468,100	Adjusted EBITDA margin: 7.9%

FY2024

Line	Amount	Confidence / Rationale
EBITDA	\$742,150	Net income + interest + tax + D&A
Owner/officer compensation above market replacement rate	\$220,000	[requires verification] Owner compensation of \$340,000 exceeds the assumed market replacement rate of \$120,000 by \$220,000. Addback assumes a new operator would be paid at market rate; confirm against a role-specific compensation benchmark before relying on this number.
Adjusted EBITDA	\$962,150	Adjusted EBITDA margin: 14.9%

Anomaly Detail

YELLOW — COGS-to-revenue ratio dropped sharply, FY2023→FY2024

Cost of goods sold fell from 66.8% of revenue in FY2023 to 60.0% in FY2024, an improvement of 6.8 points with no documented pricing or sourcing change on file. Gross margin expansion this sharp, right before a sale process, warrants verifying that period-end costs were not deferred or reclassified below the line.

fiscal years	FY2023→FY2024
cogs pct prior	66.8
cogs pct current	60.0

drop points	6.8
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YELLOW — Top customer is 28% of FY2024 revenue

The largest customer represented 28% of FY2024 revenue (top three: 57%, HHI 3053). Retention risk on this account should be underwritten explicitly -- get contract terms, tenure, and a reference call before assuming this revenue transfers with the business.

fiscal year	2024
top1 pct	28.0
top3 pct	57.1
hhi	3053.0

Benchmark Positioning

Ranges are compiled from publicly available small-business benchmarking sources (RMA Annual Statement Studies category medians, IBISWorld-style industry reports) and are directional only. Being outside a range is context, not automatically a flag.

Metric	Company (latest FY)	Benchmark low	Benchmark high	Position
gross margin	40.0%	25.0%	45.0%	within range
ebitda margin	11.5%	6.0%	15.0%	within range
current ratio	310.5%	130.0%	240.0%	above range
dso days	41 days	30 days	55 days	within range

Customer Concentration

FY	Top customer %	Top 3 %	HHI	# Customers
2022	24.0%	55.0%	3086	3
2023	26.0%	56.1%	3061	3
2024	28.0%	57.1%	3053	3

Methodology and Data Lineage

Source statements were parsed and mapped onto a fixed canonical chart of accounts using exact-match, fuzzy-match, and (where configured) LLM-assisted classification. 1 line item(s) across the reviewed periods were mapped with less than full confidence or require manual review; see mapping_table.csv in this run's output folder for the complete, human-auditable mapping.

The following source labels could not be confidently mapped and were EXCLUDED from the figures above pending manual review: Contract Labor

This memo is a quantitative first pass. It does not substitute for legal review, bank/lender confirmations, tax return reconciliation, or management interviews.

Appendix: Full Ratio Backup

Metric	FY2022	FY2023	FY2024
COGS	\$3,618,000	\$3,941,200	\$3,870,000

Gross profit	\$1,782,000	\$1,958,800	\$2,580,000
Operating expenses (incl. D&A)	\$1,519,200	\$1,902,700	\$1,939,850
Current assets	\$1,671,778	\$1,845,038	\$2,010,143
Current liabilities	\$555,368	\$621,362	\$647,290
Days sales outstanding	38	39	41
Days payable outstanding	38	40	42
Days inventory outstanding	80	79	81